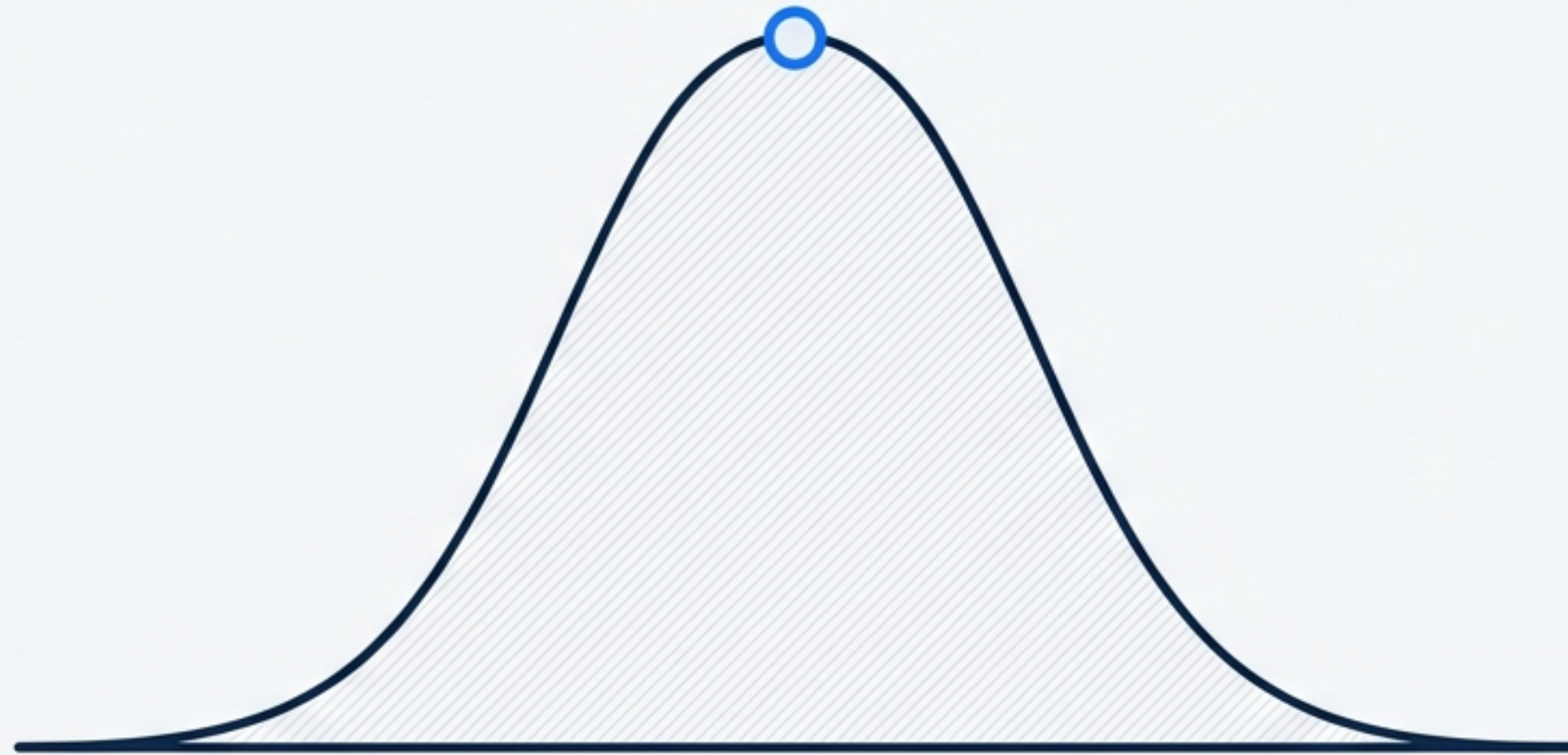


The Post-Agent SaaS Landscape

Deep research on the 'Middle Path': Why Productisation, not Code, determines the future of Software.

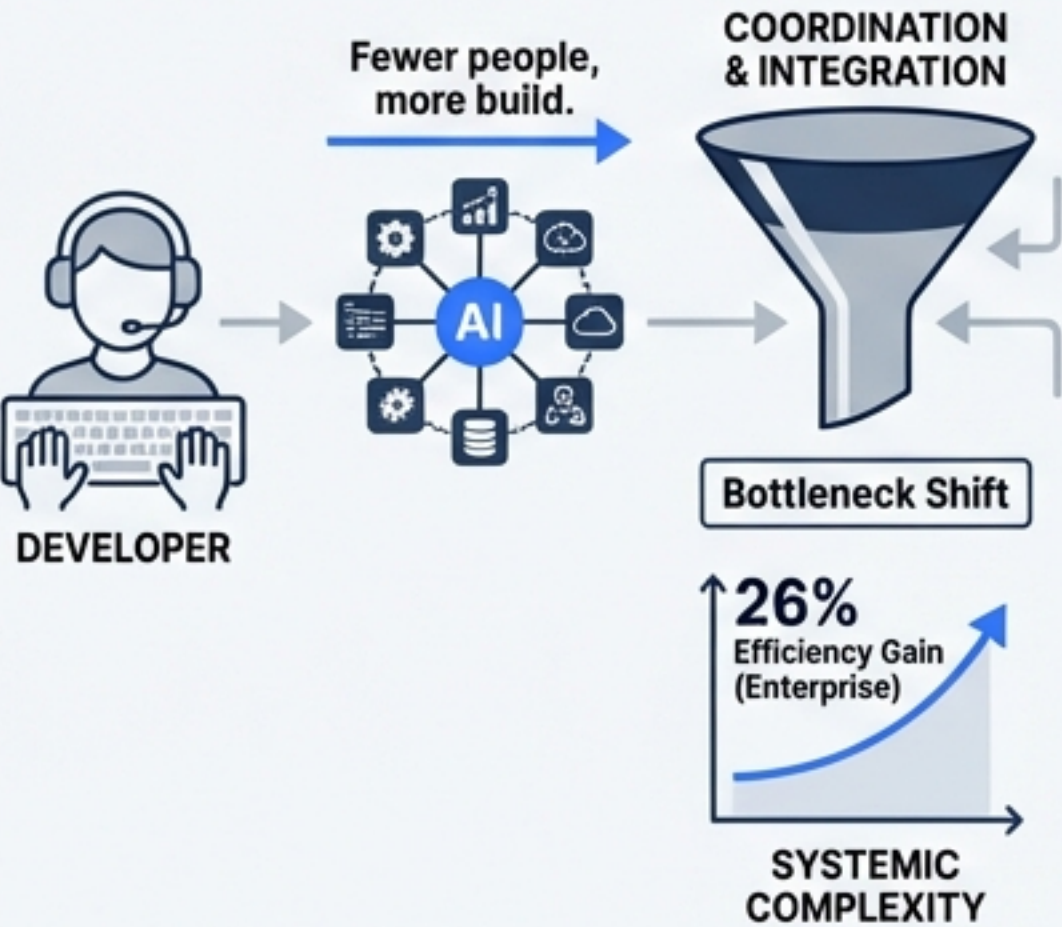


Executive Summary: The Rise of the 'Fat Middle'

1. The Shift (Scaling Function)

GenAI shifts the software scaling function. Fewer people can build more, expanding the feasible set of tools. However, the bottleneck shifts from "typing code" to coordination and integration.

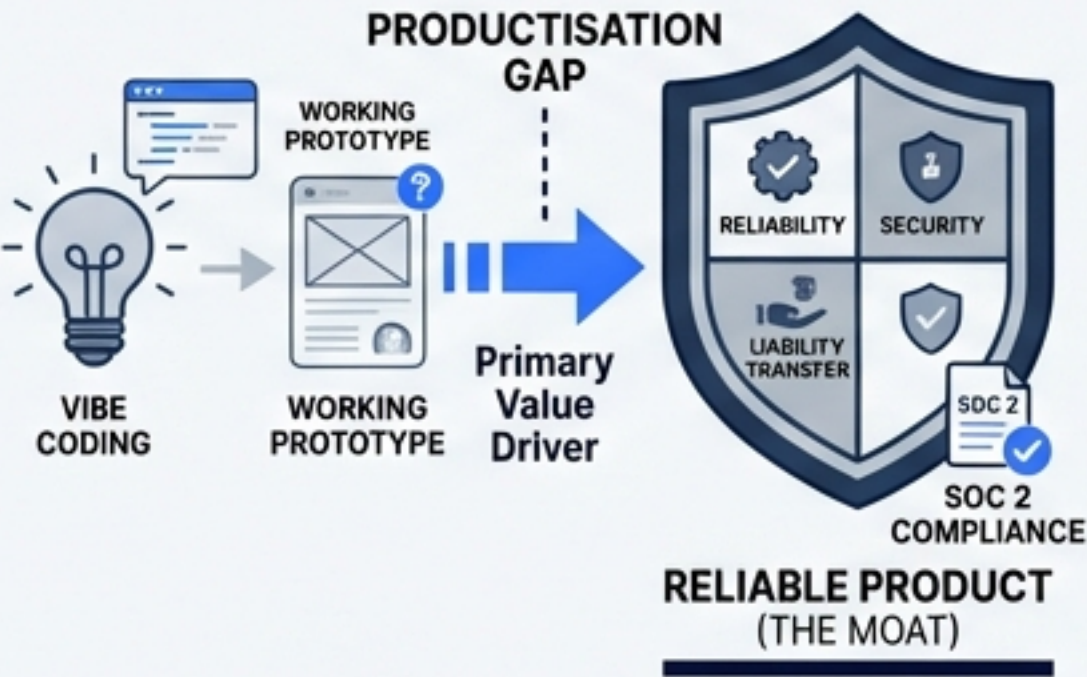
The "10x developer" remains rare; the reality is a ~26% efficiency gain in enterprise settings due to systemic complexity.



2. The Constraint (Productisation Gap)

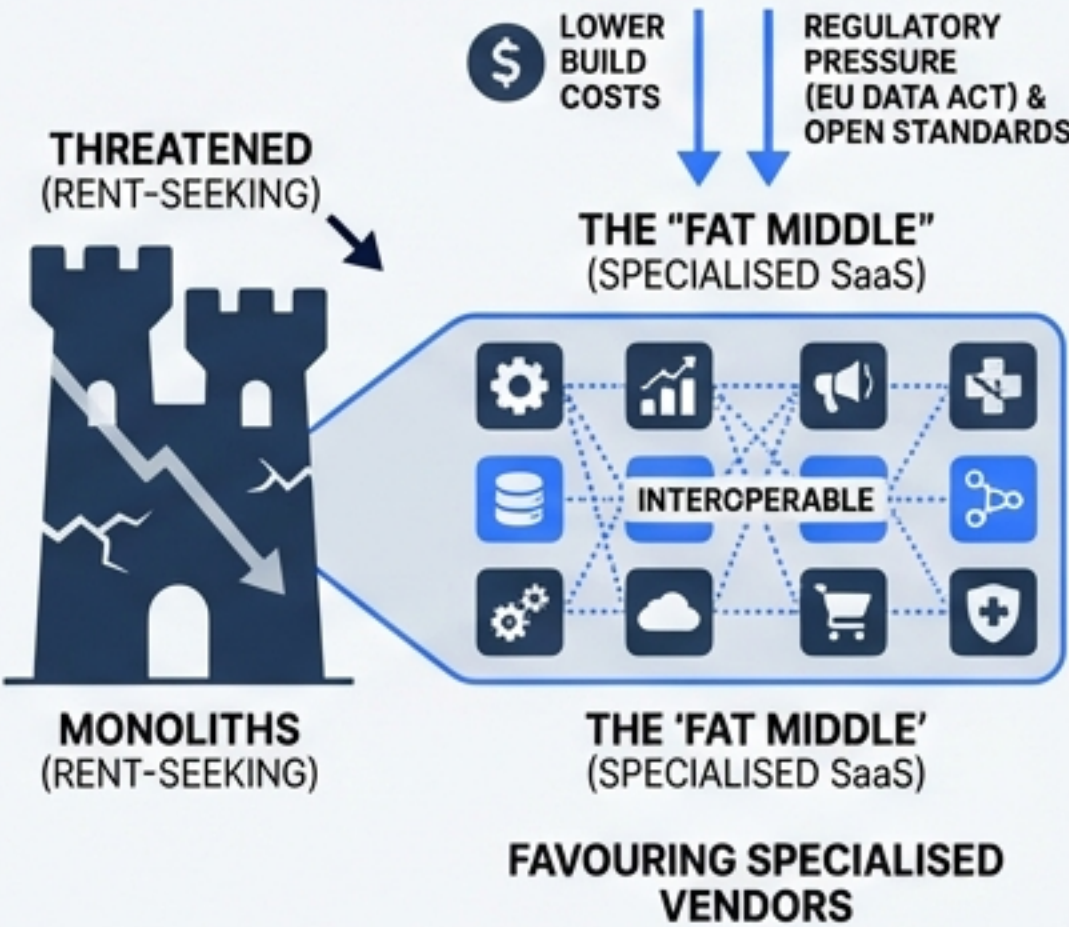
"Vibe coding" is easy; "Productisation" is the new moat. Customers do not pay for code; they pay for reliability, security, and liability transfer.

The gap between a "working prototype" and a SOC 2-compliant, reliable product is the primary value driver for SaaS.



3. The Outcome (Market Structure)

We are moving toward a 'Fat Middle' of specialised SaaS. Lower build costs make niche vertical SaaS economically viable. Simultaneously, regulatory pressure (EU Data Act) and open standards reduce lock-in, threatening "rent-seeking" monoliths and favouring specialised, interoperable vendors.



Moving Beyond the Binary: The Agent vs. DIY Fallacy

The current debate creates a false dichotomy. Empirical research suggests AI coding tools increase throughput, but production-grade software requires socio-technical coordination.



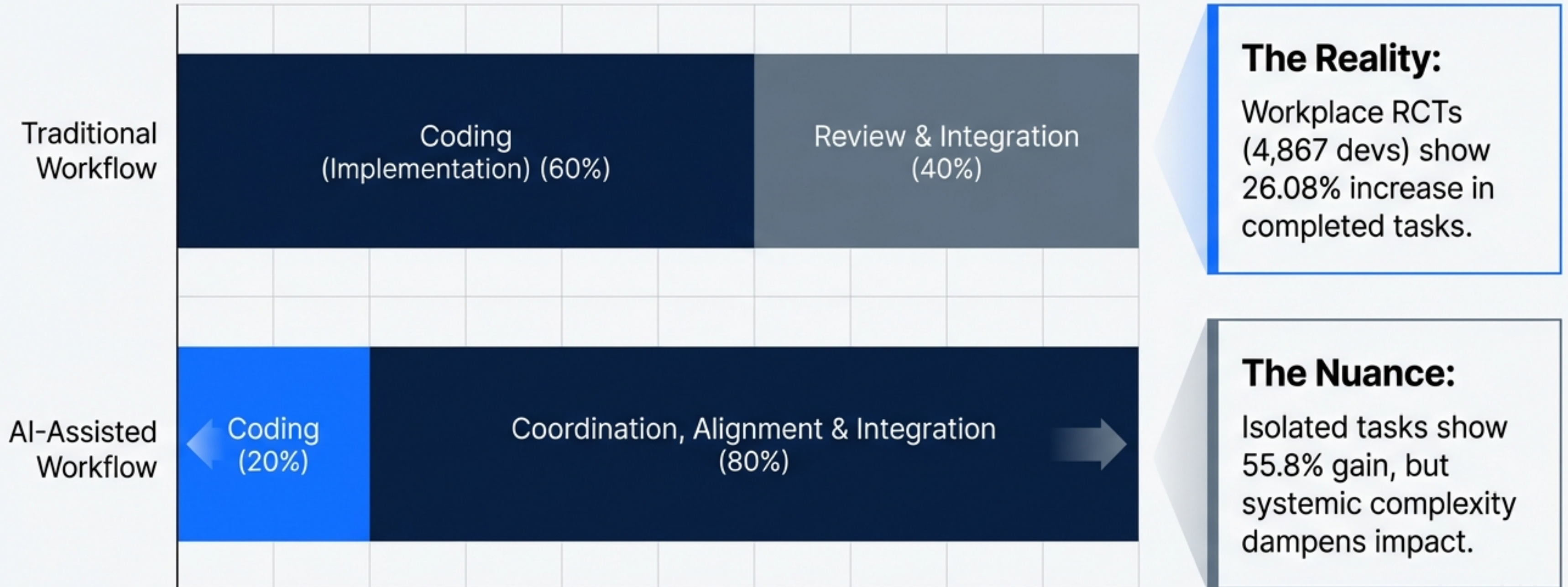
The Collapse Theory
(Agents replace all developers)

The Thesis: Value Shift
(Governance & Reliability as the new premium)

The DIY Theory
(‘Vibe-coding’ replaces SaaS)

Core Thesis: SaaS does not vanish; it moves up the stack. Value creates a distinction between ‘feature inventory’ (commoditised) and ‘operationalised capability’ (premium).

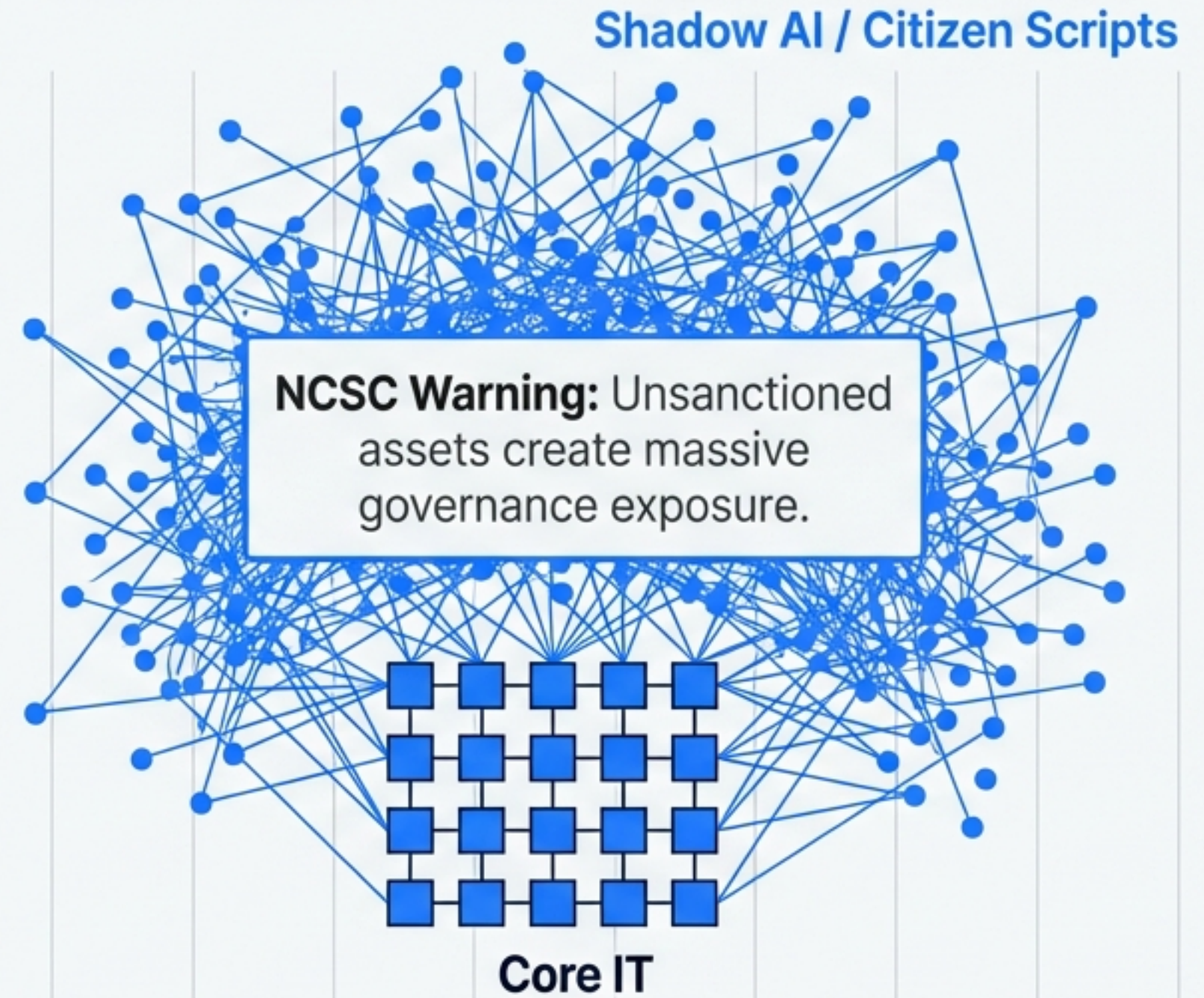
The Mechanism: Shifting the Scaling Function



Insight: As upstream throughput increases, downstream coordination becomes the binding constraint.

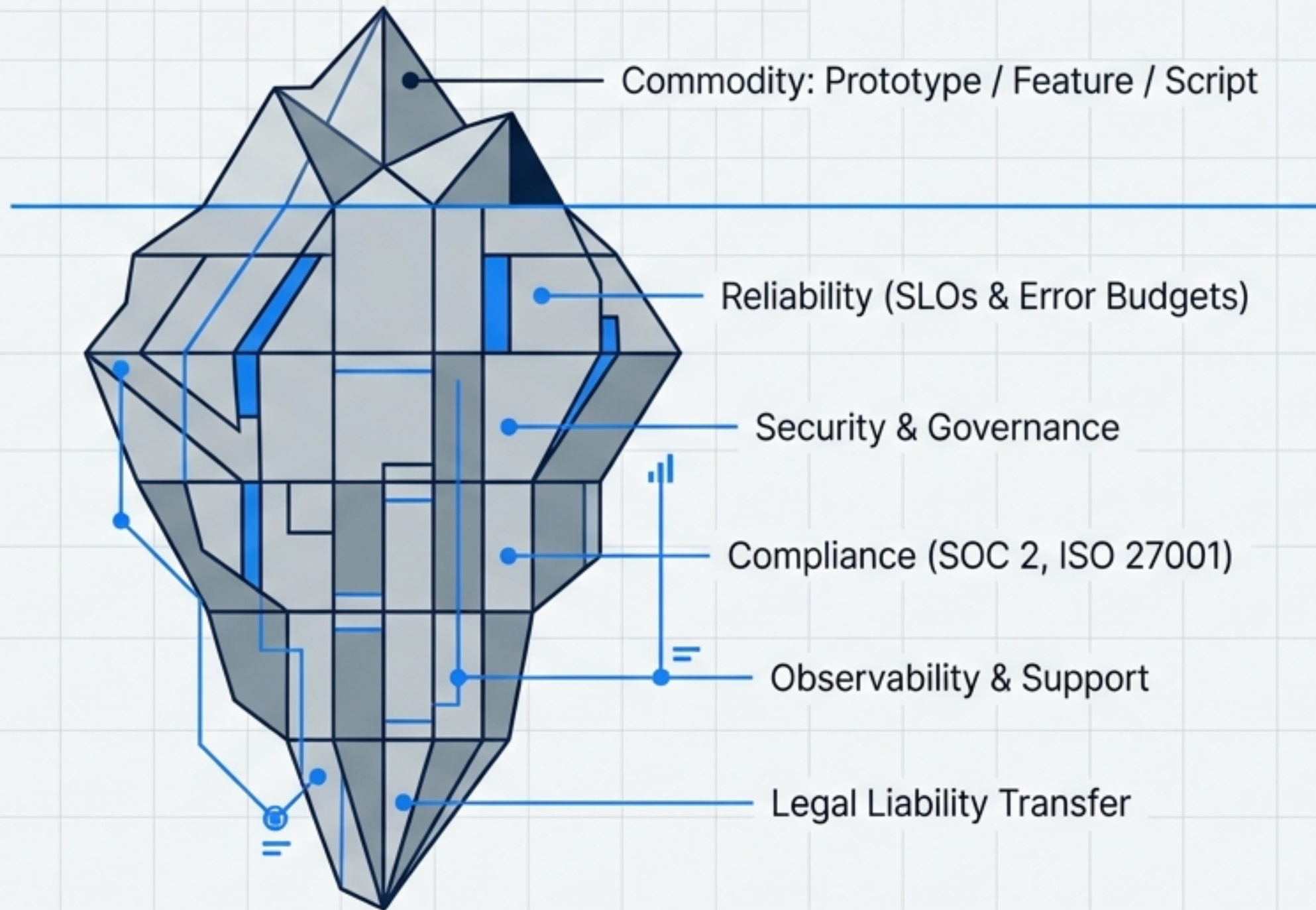
The Explosion of 'Shadow AI' and Internal Tools

- **The Precedent:** Excel is the original “internal software.” GenAI accelerates this trend.
- **The Acceleration:** Gartner predicts a massive share of apps will be low-code/no-code. The “Citizen Developer” is now LLM-assisted.
- **The Risk:** An explosion of unreviewed automations and invisible dependency chains.



Organisations will build prototypes, but will externalise business-critical tools to vendors to manage this risk.

The Productisation Gap



The Gap:

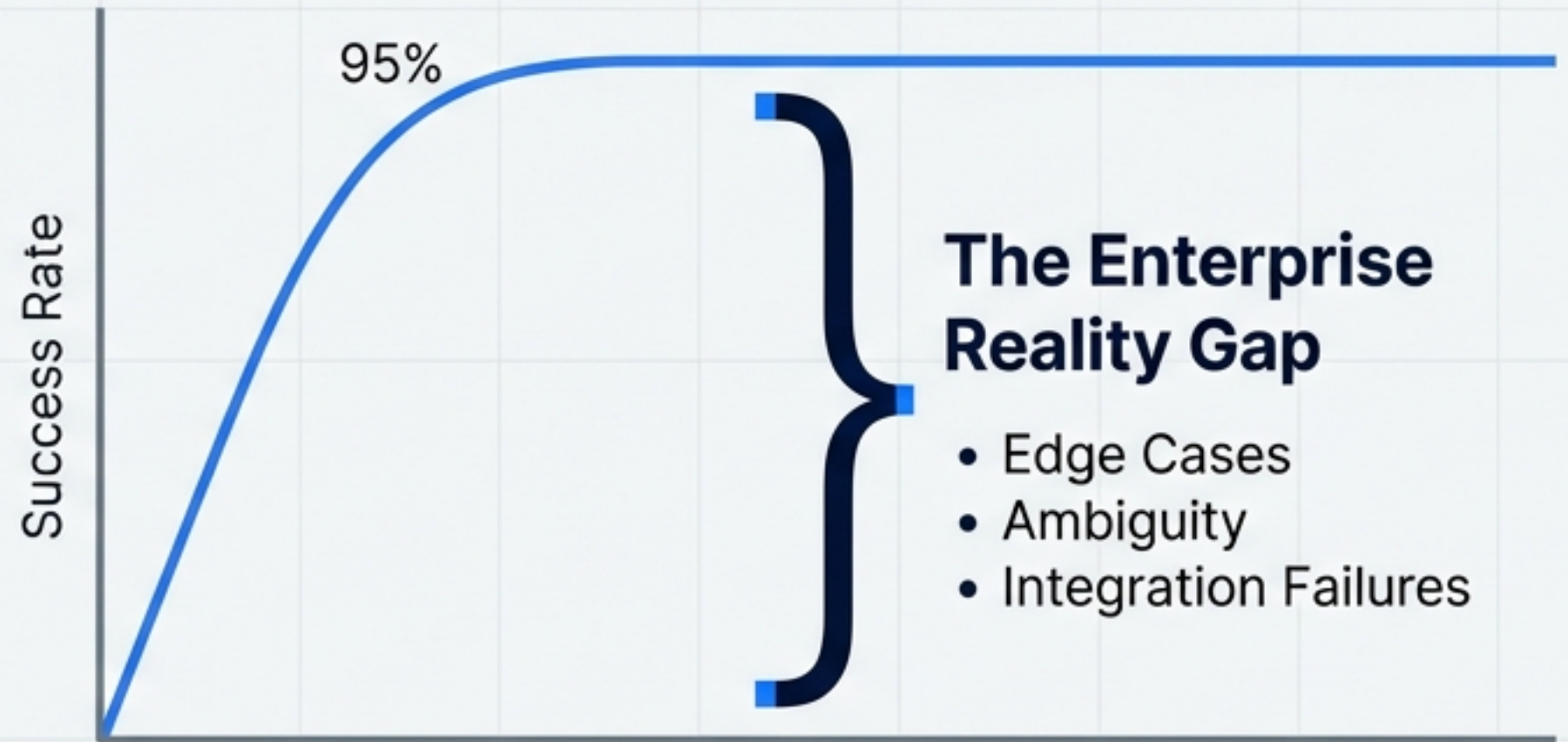
High benchmark performance is not identical to production reliability.

Strategic Implication:

Vendors competing on features lose to internal builds.
Vendors competing on trust and reliability thrive.

Reliability is a Commercial Feature, Not a Technical Detail

Mission-critical systems cannot tolerate “mostly correct.” The existence of SRE (Site Reliability Engineering) proves reliability is a managed product decision.



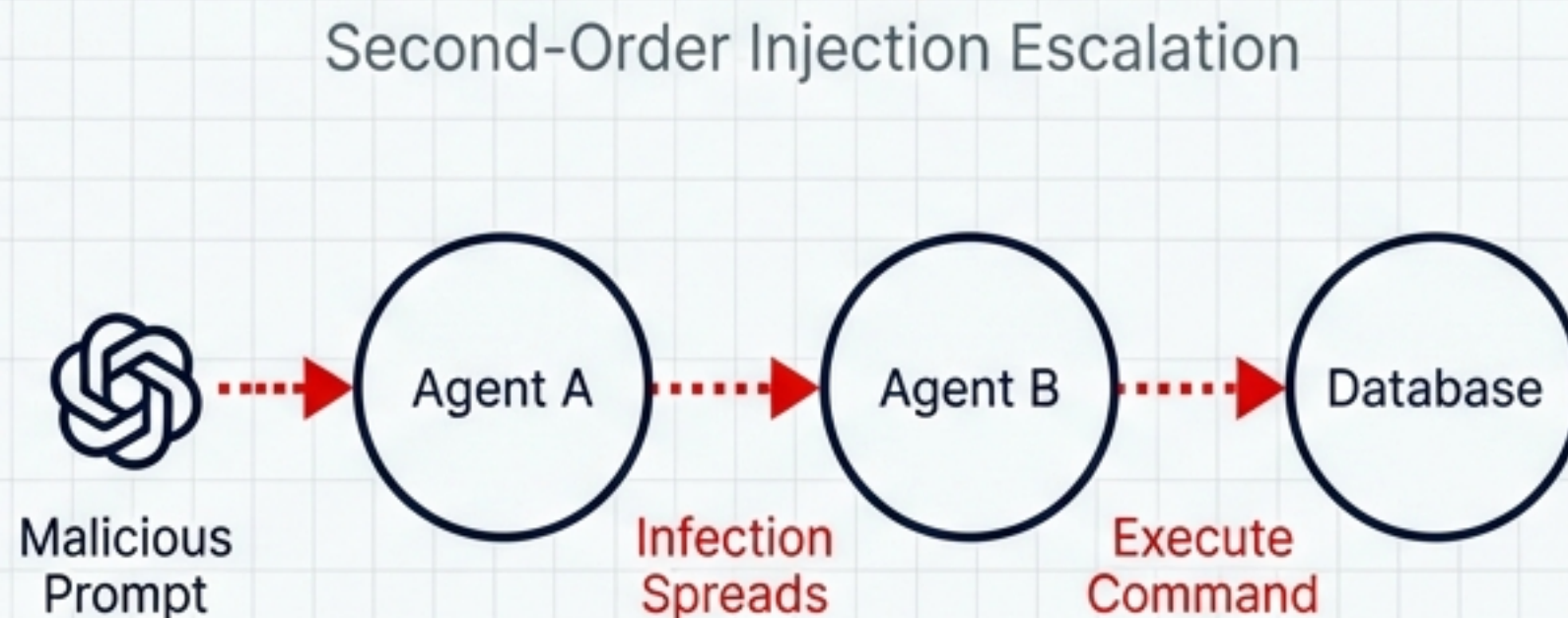
“What customers increasingly pay for is not someone typed the code, but this capability is continuously correct enough to be depended upon.”

The Security Imperative: Governing Agentic Systems

The New Threat Landscape

- NCSC: **Prompt Injection** $\neq$ SQL Injection. LLMs lack robust boundaries between instructions and data.
- OWASP Top 10 for LLMs: **Insecure output handling, training data poisoning.**

Compositional Risk



Governance is a paid feature. Security engineering becomes the primary value proposition.

The Extrinsic Barriers: Compliance and Energy



1. The Audit Gate

SOC 2 & ISO 27001 are procurement gates. Enterprises buy SaaS to transfer the cost of this audit burden. It is cheaper to buy compliance than to build it.



2. The Energy Cap

- Inference is expensive. IEA projects data centre electricity to hit 945 TWh by 2030 (~3% of global use).
- Implication: Efficient, cached, and optimised model delivery (SaaS) becomes economically superior to inefficient ad-hoc internal inference.

Market Structure: The Rise of the 'Fat Middle'



Concept: “Enshittification” happens when lock-in is high. AI + Policy reduces lock-in, forcing vendors to compete on quality.

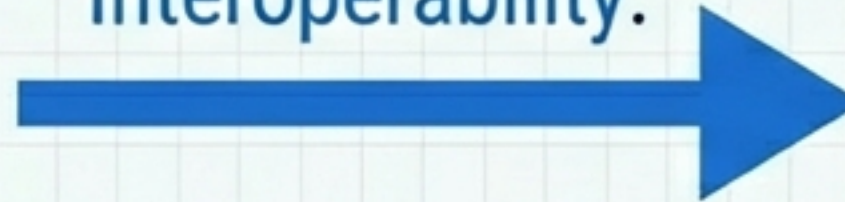
The Regulatory Accelerant (The European Context)

1

EU Data Act (Sept 2025)

- Explicitly targets barriers to cloud switching and portability.
- Strategic Impact: Reduces lock-in, allowing customers to move to specialised 'Fat Middle' vendors.

Shift towards
Interoperability.



2

EU AI Act

- Phases in compliance obligations.
- Strategic Impact: Advantages vendors who professionalise governance and documentation over 'home-brewed' solutions.

Open Source and Interoperability

Specialised SaaS Interface

Open Standards & Models
(Sovereignty Layer)

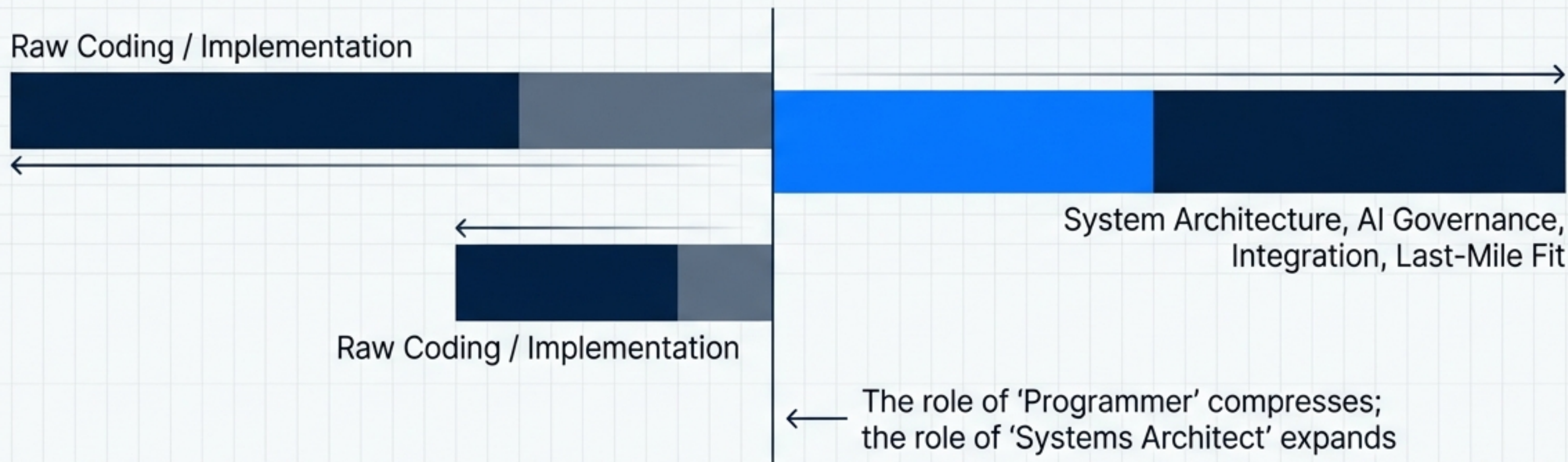
Infrastructure (Cloud/Compute)

- **Public Sector Strategy:** 'Think Open' encourages reuse and sovereignty.
- **Adoption:** Enterprise open-source adoption is widespread across core stack layers.
- **Prediction:** The 'Fat Middle' will often be open-source-led to satisfy demand for control.

Labour Implications: The Evolution of the Builder

Data: BLS projects 15% growth in developer roles (2024–2034).

The Changing Composition of a Developer's Role



A Defensible Model: 5 Testable Predictions

1. **Internal Build:** Rise in **Platform Engineering teams** to manage internal “Shadow AI.”



2. **SaaS Value:** Winners compete on **SLO transparency** and audit readiness, not just features.



3. **Vendor Landscape:** Increase in **vertical micro-SaaS**; higher churn for broad suites.



4. **Open Source:** Gains share in **regulated/sovereign** sectors (driven by EU policy).



5. **Labour:** ‘**Programmer**’ roles compress; ‘**Systems/Governance**’ roles expand.



Strategic Conclusion

For Buyers

Stop buying for features. Buy for reliability and governance. Your internal teams can build the features; you need a vendor to manage the risk.

For Founders

Do not fear the 'Internal Build.'
Compete on the Productisation Gap.
Build the 'boring' infrastructure of trust (compliance, security, SLOs).

For Investors

Look for the 'Fat Middle'—companies with deep operational moats in specific verticals, rather than broad, shallow horizontal platforms.